MICROECONOMICS

MICRO-59

Time: 5 minutes

Outcome: Interpret Lorenz curves, Gini coefficients, and redistribution tradeoffs.

Difficulty: Intermediate

Income Inequality & the Lorenz Curve

THE CORE IDEA

A Lorenz curve plots the cumulative share of income received by cumulative shares of the population, ordered from lowest to highest income. The 45-degree line represents complete equality. A curve farther below that line indicates greater inequality, not necessarily lower average income.

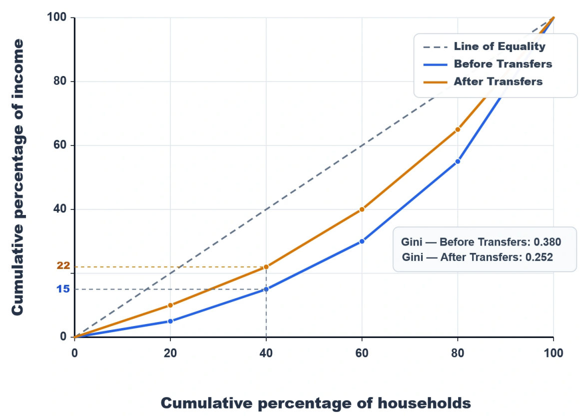
HOW TO RECOGNIZE IT

- Read a point as a cumulative population share paired with a cumulative income share.
- A Lorenz curve moving toward the equality line indicates less inequality.
- The Gini coefficient summarizes the gap from equality: 0 is equality; values nearer 1 indicate more inequality.
- Poverty thresholds and redistribution policies address related but distinct questions from inequality measurement.

WATCH OUT

Do not use a Lorenz curve to infer a country's income level. Two countries can have the same distribution shape and very different average incomes.

WORKED EXAMPLE: READING A LORENZ CURVE



Before transfers, the bottom 40 percent receives 15 percent of income. After transfers, its share rises to 22 percent and the Lorenz curve moves closer to equality. The displayed Gini falls from 0.380 to 0.252. These changes indicate less relative inequality, but do not show whether total or average income rose.

CHECK YOURSELF

Which society is more unequal: the one with Gini 0.28 or Gini 0.46?

READY? Return to the game and master this concept.